



Weekly Insights | Nov 20, 2025

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Executive Summary

Corn – Strong Physical Demand Tightens Spreads Even as Heavy Stocks Cap the Board

March corn held in the mid-\$4.40s this week, virtually unchanged, as robust export movement and record ethanol grind counterbalanced a still-comfortable balance sheet. The expiring Dec/Mar spread narrowed to about –11¢ (48 percent of full carry), reflecting firm nearby pull from Gulf exporters and ethanol plants bidding up December during delivery. Weekly export inspections came in at about 1.42 MMT, lifting season-to-date shipments to roughly 19.0 MMT, about 71 percent above last year's pace and consistent with a program tracking above 2.9 bbu. USDA's November

WASDE held U.S ending stocks at 2.154 bbu, underscoring that while the balance sheet remains heavy on paper, cash strength continues to offset it. Basis values at the Gulf and key interior hubs stayed historically firm, with strong ethanol grind and export flows anchoring the front end of the curve.

Wheat – Global Surplus Looms, but U.S Export Execution Keeps Futures Above the Lows

Wheat futures traded around the mid-\$5.40s (March SRW), holding recent gains despite a bearish global backdrop. The Dec/Mar SRW spread held near –12¢ (50 percent of carry), a sign that while ample stocks loom on paper, steady export execution (weekly U.S shipments still running about 20 percent ahead of last year on a cumulative basis) is preventing a heavier carry. Russian FOB offers remained near the low-\$230s/MT, showing no supply shortage, but U.S export pace, especially to Latin America and Asia, has been resilient. That keeps the market supported above recent lows and keeps 901 mbu feeling more like a ceiling to probe than a surplus the market is being forced to clear. Plains winter wheat areas continue to monitor dryness, but no major weather premium has re-entered the board.

Soybeans – Chinese Demand Optimism Lifts Board as Tight Spreads Signal Nearby Strength

January soybeans briefly pushed into the \$11.40s on optimism around Chinese demand, before settling near \$11.20/bu by mid-week. Cash fundamentals underpinned the board: Gulf basis and interior processor bids stayed unseasonably strong, and record U.S crush margins persist. The Jan/Mar spread is now barely –9¢ carry (41 percent of full carry), tightening from –7¢ last week, signaling tight nearby availability as crushers and exporters compete for beans. Weekly inspections around 0.92 MMT brought season-to-date shipments to roughly 11.9 MMT (about 46 percent behind last year's pace), still soft historically but improving as recent Chinese purchases begin to ship. The market continues to weigh solid U.S demand against massive projected South American supply. China "flash" purchases offered support post-holiday, but follow-through will be critical for maintaining board strength into year-end.

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(Carry % calculated assuming 7% annual interest and \\$.05/bu per month storage/insurance cost over the spread interval.)

Macro / Policy – Mixed Signals: Softer Crude, Stable USD, and Policy Shifts in China & Argentina

Broad market drivers were neutral. Crude oil hovered around \$59/barrel, offering modest relief to freight and input costs but pressuring biofuel margins. The U.S Dollar Index held near 100, while the Brazilian real was steady around R\$5.27/USD. In Argentina, the black-market peso continued to weaken, nearing ₱1450/USD in parallel markets ahead of the new administration's term, preserving aggressive farmer selling incentives. Trade policy signals were mixed: China's suspension of tariffs on U.S corn and wheat remains in effect (though no major U.S corn purchases yet), and the 10–13 percent import duty on U.S soybeans still applies. However, recent U.S soy purchases may be for state reserves, effectively sidestepping that tariff. Meanwhile, Argentina's president-elect reaffirmed plans to slash grain export taxes – a medium-term bearish wildcard if implemented quickly.

Weather – U.S Harvest Wraps Cleanly, Brazil Splits Into North-Wet / South-Dry, Argentina Near Ideal

U.S harvest is essentially complete (corn and soybeans both above 95 percent), shifting attention fully to South America. In Brazil, soybean and first corn planting is nearing the finish line under mixed conditions: central and northern areas benefited from improved late-November rains, while parts of the far south (Rio Grande do Sul, Santa Catarina) and pockets of MATOPIBA saw below-average rainfall. This emerging La Niña pattern raises yield risk in southern Brazil even as it aids some northern soy areas. Argentina's early crop development remains favorable: ample spring rainfall has boosted soil moisture, supporting rapid corn and soybean planting and a recovery from last year's drought. With USDA already assuming record Brazilian and Argentine crops, any persistence of southern Brazilian dryness or a shift to drier conditions in Argentina would quickly become an active driver of spreads and flat price.

What's Next (Dec 4 – Dec 10):

USDA December WASDE (Dec 9): Markets await the mid-December World Agricultural Supply and Demand Estimates.

Export Sales & Inspections: With the holiday behind, weekly export sales and inspections will be parsed to confirm how much of the recent Chinese soybean buying is on the books.

South American Weather Pattern: The next 7–10 days are critical for Brazil. If rains remain scant in far southern Brazil while the Center-West stays ideal, the divergence in crop conditions may widen, potentially supporting soybean meal and nearby corn spreads.

Argentina Policy Announcements: Argentina's new government takes office Dec 10. Any official decrees on currency devaluation or export tax cuts (especially for corn/wheat) could trigger immediate reactions

Logistics – River & Ports: U.S attention turns to rail and barge logistics as winter sets in. River levels on the Mississippi and Ohio have improved from early-fall lows, but weather disruptions remain possible.

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	11/20/2025 Close	12/03/2025 Close	Change (Δ)	Δ%	5-day Realized Vol* (x)	Open Interest Δ (x)
Corn (Dec '25)	\$4.35	\$4.33	+0.01\$	+0.23%	12% (ann.)	+2k (est.)
Soybeans (Jan '25)	\$10.9	\$11.3	+0.4\$	+3.67%	14% (ann.)	+5k (est.)
Wheat (Dec '25)	\$5.32	\$5.38	+0.06\$	+1.13%	13% (ann.)	+1k (est.)

5-day realized volatility estimated from daily settlement price changes.

Actual contract open interest changes are estimated; total corn OI rose slightly as new-crop hedges built, while wheat OI fell with Sep contract deliveries.

Table B – Key Calendar Spreads & % of Full Carry

Spread (Crop '25→'26)	11/20 Quote	12/03 Quote	Δ (carry)	% Full Carry*	Market Implication
Corn Dec–Mar	-\$0.13	-\$0.11	+0.02	48%	Nearby Gulf demand firming vs. interior harvest flow
Soy Jan–Mar	-\$0.011	-\$0.09	+0.02	41%	Crush pull holding January, export sales still Brazil-facing
Wheat Dec–Mar	-\$0.13	-\$0.12	+0.01	50%	Heavier global stocks rewarding storage; no scarcity signal

Assumes 7% annual interest + \$0.05/bu/month storage/insurance. Full carry (3 months) ≈ \$0.22–\$0.23 for corn & SRW wheat; (2 months) ≈ \$0.22 for soybeans. % of full carry = (calendar spread ÷ calculated full carry).

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Month)	11/19 USD Price	12/03 USD Price	Δ%	Notes
Dalian Corn (Jan)	¥2,162 (\$6.49/bu)	\$2,169 (\$6.50/bu)	+0.3%	Steady on local crop debate, limited directional momentum.
Dalian Soymeal (Jan)	¥2,994 (\$421/mt)	\$3,048 (\$89/mt)	+1.8%	Meal futures firmed on tightening near-term supplies; domestic crushers slowed runs.
B3 (São Paulo) Corn (Nov)	R\$67.88 (\$12.38)	R\$68.10 (\$12.93)	+0.3%	Brazil domestic futures slightly firmer; improved Center-West rains offset by southern dryness.
Euronext Wheat (Dec)	€197.5 (\$225/mt)	€193 (\$5.28/mt)	-2.0%	Lower on rising EU stocks; bids at €189, offers at €194.75.

Corn Market Deep Dive

South America Outlook: South American production is the major wildcard for Q1. In Brazil, CONAB projects 2025/26 corn output at 138.8 MMT, slightly below last year's record (141 MMT), while we estimate the crop closer to 136 MMT, reflecting a planted area of about 22.72 million hectares (+4 percent YoY) and an expected yield just under 6.0 t/ha. Both agencies converge on the same acreage expansion, but yield remains the key swing factor: CONAB assumes 6.11 t/ha, embedding a stronger La Niña risk premium for the southern states, whereas our slightly lower yield expectation reflects a more cautious view of early-season stress in Rio Grande do Sul and parts of Paraná even as conditions in the Center-West remain supportive.

As of early December, northern and central Brazil (Mato Grosso, Goiás) are generally in good shape: recent rains helped rebuild soil moisture and enabled excellent early development. By contrast, southern Brazil (Paraná, Rio Grande do Sul) remains drier than ideal, and the planting window is closing rapidly. Moisture deficits in RS remain a key watchpoint for first-crop yields and the timing of safrinha planting, which begins in January and is particularly sensitive to delays. Meanwhile, Argentina's corn outlook has brightened significantly: the Buenos Aires Grain Exchange pegs the crop at 61 MMT, while private forecasts stretch toward 58–62 MMT under trend-beating yield assumptions. Early planting benefited from abundant spring rains, and field conditions are excellent, but January weather will be decisive.

If these production outlooks hold, combined Brazil + Argentina output would still deliver a sizable global surplus, capping CBOT rallies through late Q1. But if southern Brazil's dryness intensifies or Argentina turns drier during pollination, the global supply narrative could quickly tighten.

Futures & Spreads: March corn traded essentially flat on the week, holding near \$4.43/bu as strong physical demand continued to offset the comfort of the broader supply backdrop. The nearby Dec–Mar spread tightened to –11¢, representing roughly 48 percent of full carry and signaling firm nearby demand from Gulf exporters and ethanol plants even as overall stocks remain ample. Volatility held low near 12 percent annualized, with no indication of stress or inversion in the curve. Futures remain locked in a mid-\$4 range, but the softening carry structure shows that users are still pulling hard on the front end.

Export Demand & Cash Basis: Weekly corn inspections totaled 1.421 MMT for the week ending Nov 27, down from 1.696 MMT the prior week due to the Thanksgiving holiday but still 50% above the same week last year. Season-to-date shipments reached 18.97 MMT, roughly 71% ahead of 2024/25, and well aligned with an export program tracking above 2.9 bbu. Demand remains broad-based, led by Mexico, Colombia, Japan, and South Korea. Cash markets continue to validate this strength: CIF Gulf bids firmed another few cents and remain near multi-year winter highs, while ethanol plants in Iowa and Nebraska continue aggressive bidding amid record-high U.S ethanol output of 1.201 mb/d, implying one of the strongest weekly corn grinds ever. Together, basis, spreads, and inspections paint a picture of a physical market far sturdier than the paper balance sheet suggests.

U.S Balance Sheet: The November WASDE held U.S ending stocks at 2.154 bbu, about 44 mbu above the prior estimate, keeping the 2025/26 stocks-to-use ratio near 14 percent, comfortable enough to cap flat-price rallies. But the physical pipeline remains tight: exports are outperforming early-season expectations, ethanol grind is running at or near record pace, and basis levels have stayed historically firm for late November. Until stronger farmer selling returns or export momentum slows, the board is struggling to reflect the looseness implied by carryout.

So What? Corn continues to trade a split narrative: futures see comfortable stocks and the prospect of massive South American production, while the cash market sees strong real-time demand and refuses to loosen. Export pace, ethanol grind, and basis strength are anchoring the front end, narrowing spreads and preventing breakdowns. At the same time, the shadow of a potential 195 MMT combined Brazil + Argentina corn crop limits any sustained rally. Unless a demand shock (such as China returning as a large buyer) or a weather disruption materializes, corn is likely to remain range-bound between \$4.25 and \$4.50/bu, firm on breaks, capped on rallies, and increasingly sensitive to every South American forecast update.

Soybean Market Deep Dive

South American Outlook: Brazil remains the dominant force in global soybean pricing. CONAB estimates 2025/26 production at 177.6 MMT on 49.06 Mha planted, with yields near 3.62 t/ha. Our updated forecast is higher at 179 MMT, assuming 49.25 Mha planted and a stronger yield profile near 3.66 t/ha. Expansion is centered in MATOPIBA and frontier regions where farmer margins remain attractive. Central and northern areas (Mato Grosso, Goiás) recovered well after early-season dryness thanks to late November rains, while Rio Grande do Sul and Paraná continue to experience below-average moisture, a classic La Niña signature. If southern dryness persists through January, Brazil's soybean crop could slide toward 175–178 MMT, if rains normalize, 180 MMT remains the base case.

Argentina's production outlook has improved dramatically versus last year. The Buenos Aires Grain Exchange keeps its estimate near 50–52 MMT, but private models suggest potential for 55–56 MMT under current moisture conditions. Planting progress is ahead of normal, soil moisture is excellent, and early vegetative growth is strong. The swing factor is policy: talk of lowering or restructuring soybean export taxes could shift planting behavior and marketing pace, adding another layer of uncertainty for Q1 global flows. Combined Brazil + Argentina production could exceed 235–238 MMT, easily surpassing last year and increasing global ending stocks beyond USDA's 121.99 MMT projection.

Futures & Spreads: January soybeans ended the week little changed, briefly pushing into the low \$11.40s before fading back toward \$11.20/bu as the rally failed to build momentum. The market remains split between strong near-term U.S. demand and the gravitational pull of massive South American supply expectations. The Jan/Mar spread tightened to –9¢ (41 percent of full carry), signaling firm nearby demand from crushers and exporters even as the flat price struggles to break out. CIF NOLA barge bids and Eastern Corn Belt processor basis stayed historically strong for early December, reflecting a pipeline that is tighter than the balance sheet implies, processors and exporters are still competing for physical beans.

Crush Margins & Domestic Demand: Domestic crush is the backbone of U.S. soybean strength. October NOPA crush hit a record 227.7 mbu, and industry chatter indicates that November crush stayed extremely strong supported by favorable board margins and resilient soymeal demand. Soymeal remains the star component: livestock and poultry sectors continue to pull aggressively, keeping interior processor basis elevated. Soybean softened alongside weaker diesel prices, but renewable diesel policy (45¢ anticipation, state LCFS incentives) continues to support crush margins. USDA left 2025/26 crush at 2.55 bbu, but the margin structure hints at upside risk if processors maintain current run rates.

Export Sales & Inspections: Weekly soybean export inspections were 0.92 MMT, bringing cumulative shipments to 11.87 MMT, still about 30–35 percent behind last year but improving as recent Chinese purchases begin to ship. Over the past two weeks, USDA confirmed roughly 1.6 MMT of U.S. soybeans sold to China, some likely destined for state reserves. These large flashes temporarily extended the U.S. export window amid Panama Canal congestion and Brazil's slower early planting. Still, the sales book remains fragile: USDA's 1.635 bbu export target requires sustained Chinese buying into January/February. Without continued follow-through, the export line will face downward pressure in the January WASDE.

So What? Soybeans are trading between two powerful forces: a firm U.S. physical pipeline in the short run and the potential for overwhelming South American supply in the medium run. Tight Jan/Mar spreads, strong crush, and improving exports keep the market supported for now, but the board cannot rally meaningfully while Brazil and Argentina point toward record or near-record crops. If southern Brazil's

dryness deepens or Argentina turns hot/dry during flowering, soybeans could quickly add a weather premium. But if rains stabilize and Chinese buying fades, futures will struggle to hold the \$11 range as Q1 approaches. In effect, the soybean market is pricing time, strength now, risk later, and the next 6–7 weeks of South American weather will determine which narrative wins.

Wheat Market Deep Dive

Futures & Spreads: March SRW wheat traded in a narrow range this week, settling near \$5.41/bu as the market continued to digest the mid-November *WASDE*'s heavier supply outlook. Early-week weakness gave way to a modest rebound driven by short-covering and another week of firm export execution. The Mar/May spread held near –12¢ (50 percent of full commercial carry), slightly firmer than early November but still consistent with a storage-rewarding structure rather than any sign of nearby tightness. Volatility remains muted, and with funds still net short (but no longer adding aggressively), the curve is broadcasting a classic carry market, one characterized by burdensome stocks offset by demand steadiness that prevents further breakdown.

Global Supply & Trade Pressure: The November *WASDE* confirmed a heavy global backdrop: 2025/26 world wheat production at 828.9 MMT and ending stocks at 271.4 MMT, both above September and above pre-report expectations. Russia remains the dominant bearish anchor, with production near 86.5 MMT, exports at 44 MMT, and FOB 12.5% protein offers still around \$230/MT, comfortably undercutting U.S. and EU values. Black Sea export flow remains aggressive, though rising Russian internal prices and steadily increasing export taxes could become mild friction points by Q1. For now, however, Russia continues to set the global ceiling, and U.S. wheat must price competitively to capture incremental demand.

Cash & Basis: FOB U.S. Gulf SRW wheat hovered near \$230/MT (\$6.85/bu equivalent), maintaining a \$20–25/MT premium to Russian offers into North Africa and Asia. This premium reflects quality and freight, but underscores the structural disadvantage U.S. wheat faces internationally. Domestic basis is soft in most regions but shows pockets of firmness: HRW basis in the Southern Plains improved slightly as feeders capitalized on cheap wheat relative to corn. Still, with carry near 50 percent of full and no significant FOB tightening, the U.S. cash market remains firmly in “storage mode,” not approaching any scarcity threshold.

Trade Flows: U.S. export performance remains modest by historical standards but continues to run well ahead of last year. Weekly export inspections for the week ending Nov 27 came in at 384,881 MT (correct), pushing cumulative 2025/26 shipments to 13.23 MMT, about 20 percent above the same period last year (11.03 MMT). The steady outflow keeps USDA's 900 mbu export projection possible, though still requiring persistent execution through winter. Strength has come largely from Latin America (Mexico, Brazil) and steady Asian demand (Philippines, Japan). A slightly weaker U.S. dollar and stable freight have improved competitiveness at the margin. Even so, the U.S. remains a secondary supplier in most global tenders, execution must remain strong to keep the export line on track.

So What? The wheat market continues walking the line between heavy global supply and incremental demand resilience. U.S. ending stocks stand at 901 mbu, world stocks above 271 MMT, and Black Sea wheat continues to set the global floor. Yet futures have stabilized in the \$5.20–\$5.60/bu range, supported by steady U.S. shipments and perceptions that U.S. SRW is already “cheap enough” to discourage further fund selling. The market is not ignoring the surplus, it simply sees no urgency to push

prices dramatically lower. Chicago remains a classic carry market, biding time until a catalyst emerges: Black Sea logistical disruption, Southern Hemisphere harvest shortfalls, or meaningful U.S. winter wheat stress. Until then, wheat is a carry trade, not a scarcity story.

US Cash Market & Basis

Corn: Cash corn basis remains historically firm for winter, with CIF Gulf bids quoted near +90¢ to +95¢ over March futures, levels rarely seen this time of year. Interior bids, particularly in the ethanol-heavy Western Corn Belt, remain strong, with processors actively competing for spot bushels. Basis in Iowa and Nebraska held firm to slightly higher on the week, supported by ethanol production that hit a record high of 1.126 million barrels/day at the end of November. National basis sits around -34¢ under March, roughly 5¢ firmer than the same time last year. The strength reflects a combination of robust domestic demand, lean commercial ownership, and reluctant post-harvest farmer selling, many growers opted to store rather than sell amid low flat prices and anticipation of better marketing opportunities ahead. While the futures board continues to reflect a comfortable balance sheet, the basis structure tells a story of tight nearby availability and strong pipeline pull.

Soybeans: Soybean basis is even tighter than corn. CIF Gulf barges for January are trading near +80¢ over Jan futures, down slightly from recent highs but still strong by historical standards. Interior processor basis remains exceptionally firm, with spot bids in the Eastern Corn Belt (e.g. Decatur, Lafayette) at +60¢ to +75¢ over Jan, driven by record crush margins and steady soymeal demand. River elevators along the Mississippi and Ohio have also firmed amid improving barge logistics and lingering export interest from China. National basis averages near -26¢ under Jan, well above typical harvest-season levels. The recent tightening of the Jan/Mar spread to -9¢ is consistent with this cash firmness. U.S. exporters are working through a burst of late-season Chinese sales, but forward basis values have started to soften slightly as Brazil's export season approaches. Cheaper South American offers for March forward slots are already pressuring U.S. FOB values, and exporters know they must stay competitive to defend market share in early Q1.

Wheat: Wheat basis remains the weakest of the major row crops, but still stable given the heavier supply backdrop. FOB Gulf SRW prices sit near \$230/MT (\$6.26/bu equivalent), a level that has attracted some interest but still leaves U.S. wheat \$20–25/MT above Black Sea offers, particularly from Russia. Russian 12.5% protein wheat remains anchored near the low \$230s/MT, and with freight advantages into North Africa and Asia, continues to set the marginal price ceiling. In the interior U.S., HRW basis in the Southern Plains showed minor strength this week in feed markets, as wheat remains competitive with expensive corn in some rations. Elsewhere, basis was mostly steady to soft, in line with a comfortable carry market. USDA's 900 mbu export target remains achievable, but only if shipment pace continues and FOB premiums remain defensible. For now, U.S. wheat remains a storage market, not a basis-driven one.

International Cash & Trade Flows

Brazil: Brazil remains the global leader in grain export flows, even as seasonal slowdowns take hold. November corn exports reached an estimated 5.5–6.0 MMT, slightly down from October's record but still robust thanks to Brazil's massive safrinha corn crop. Soybean exports fell to 2–3 MMT as old-crop supplies dwindled ahead of the new harvest cycle. FOB Santos soybean offers averaged \$485–490/MT (\$11.15–\$11.25/bu), holding a \$10–15/MT discount to U.S. Gulf quotes for January loading. On corn, Paranaguá FOB offers hovered near \$205/MT (\$5.20/bu), keeping Brazil firmly in control of Asian and Middle Eastern destinations. Logistics through Santos and other corridors remain fluid, with no major reports of congestion or freight delays. Central and northern soybean fields saw timely rains in late

November, improving early development, but lingering subsoil moisture deficits in parts of Goiás and the MATOPIBA region may temper yield optimism slightly. Still, for now, Brazil remains the benchmark origin for global corn and soybean trade into early 2026.

Argentina: Argentine export prices softened slightly in early December, weighed down by currency shifts and political uncertainty. FOB corn (Rosario) offers were quoted near \$180–185/MT, while FOB soybeans dipped to \$430–435/MT, both a touch weaker than November levels. Farmer selling has slowed again after the expiration of the "soy dollar" FX incentive in October and in anticipation of the Dec 10 government changeover, which could include a formal peso devaluation and lower export taxes. With informal exchange rates ballooning to ₱1,450–1460/USD in parallel markets, many growers are opting to hold soybeans as a currency hedge, particularly ahead of expected policy clarity. Nonetheless, crush plants around Rosario continue to operate steadily, drawing on stocks accumulated earlier in Q4. Planting progress is strong: corn and soybean seeding both near 50 percent complete, supported by ample early rainfall. Corn output is projected around 60–62 MMT, and soybeans at 50–55 MMT, a significant recovery from last year's drought-stricken campaign. Wheat harvest has begun in the north under mostly favorable conditions, with 2025/26 production pegged around 16.5–17 MMT.

China: Chinese grain buying remains price-sensitive and cautious. U.S. Gulf soybeans are offered at +240¢/bu over Jan futures (\$2.40/bu basis), which is 15¢/bu higher than Brazilian offers, keeping Brazil as the favored origin for January/February deliveries. Chinese crushers booked additional Brazilian cargoes in late November, while recent U.S. sales are assumed to be for state reserves, not commercial crushing. On corn, the Dec 1 removal of retaliatory tariffs on U.S. grain has not yet triggered fresh demand, Chinese buyers appear to be waiting for lower U.S. prices or further policy clarity. Dalian Jan corn futures (¥2,140/MT) remain well above world values (\$6.40/bu equivalent), but internal buying appetite is still tentative. For now, China is nibbling at U.S. soy, avoiding corn, and watching the market closely, not yet pivoting back to U.S. origin in volume.

EU / Black Sea: The Black Sea continues to define world grain prices. Russian 12.5 percent protein wheat FOB offers firmed slightly to \$235–240/MT, lifted by ruble stabilization and a higher floating export tax. But Russian shipments into North Africa and the Middle East remain strong, reinforcing their grip on price-sensitive tenders. French wheat (FOB Rouen) near \$230/MT remains at a discount to U.S. Gulf wheat, but still trails Russia in competitiveness. Ukrainian corn flows via Danube barges and rail continue steadily into Europe, with offers around \$205–210/MT, pressuring EU feed grain values. Internal EU stocks are sufficient post-harvest, reducing short-term import demand. In protein meals, Black Sea soymeal (Russia, Ukraine) is pricing below U.S. origin and gaining share in southern Europe and the Middle East, aided by cheaper freight and favorable FX terms.

Other Origins: No major changes from secondary exporters. Canada continues to ship spring wheat into Asia and Mexico but remains a supplemental supplier. Australia's wheat harvest is underway: Eastern states report decent quality and protein, but Western Australia's ongoing drought is dragging national yield lower. Buyers expect mixed quality and smaller volumes than last year's record crop. India remains sidelined from export markets, with wheat and rice restrictions still active and no new policy guidance. South Africa's summer crop season is proceeding normally, and no significant disruptions have emerged from other minor global suppliers.

So What? Global grain flows remain clearly bifurcated: Brazil and Russia dominate corn, soybeans, and wheat, respectively, while U.S. exporters play a secondary role, relying on regional advantages and niche opportunities (e.g. corn to Mexico, soymeal to inland Asia, wheat to Latin America). The FOB spread

remains structurally wide, Brazilian corn/soy and Russian wheat continue to price below U.S. Gulf equivalents even with strong U.S. basis and logistics. Unless weather, policy, or demand dynamics shift materially, such as a South American crop shortfall or China returning as a consistent U.S. buyer, the U.S. position in global flows will remain tactical rather than dominant.

Key Fundamentals & Reports (Nov 21 – Dec 4)

Government Data & Reporting: USDA data flow remained uninterrupted this week, with Export Inspections and Sales reports released on time and no major scheduling delays reported. The market is now turning its attention to the upcoming December *WASDE* (scheduled for Dec 9), which is not expected to bring significant U.S. balance sheet changes but may offer early guidance on South American crop prospects or export line revisions. The return of CFTC Commitments of Traders reporting has restored visibility into fund positioning, though speculative flows remain light overall.

Crop Progress: National harvest is now essentially complete. USDA did not publish a new Crop Progress report during this period, as corn and soybean harvests are considered wrapped up for statistical purposes. Private surveys and regional updates confirm that fieldwork has concluded across most of the Corn Belt. In winter wheat, the market remains focused on condition ratings and drought persistence in the central and southern Plains, particularly western Kansas and Oklahoma. Early-season HRW ratings are mixed, and emergence is proceeding at a normal pace, though some key areas remain moisture-deficient as dormancy sets in.

Export Inspections (USDA FGIS – week ending Nov 28): Corn inspections totaled 1.42 MMT, a holiday-shortened volume but still well above last year's 0.95 MMT for the same week. Season-to-date corn loadings have reached 18.97 MMT, running 70 percent ahead of last year and staying comfortably aligned with USDA's upgraded 2.3 bbu export forecast. Soybean inspections came in at 0.92 MMT, bringing cumulative shipments to 11.87 MMT, still sharply below last year's front-loaded pace, but improving modestly in recent weeks as Chinese purchases begin to ship. Wheat inspections were 384,881 MT, lifting cumulative exports to 13.23 MMT, roughly 20 percent above last year's levels and broadly consistent with USDA's 900 mbu export projection. Despite seasonal slowing, physical movement remains supportive across corn and wheat, while soybeans continue to rely on incremental Chinese demand to narrow the year-over-year deficit.

Export Sales (USDA FAS – week ending October 30): Export sales data highlighted steady activity across major commodities amid ongoing catch-up reporting due to funding delays. For corn, net sales reached 2.36 MMT with exports at 1.54 MMT, led by consistent demand from markets like Mexico, Colombia, and Japan, staying aligned with the pace needed to hit USDA's approximately 2.975 bbu forecast. Soybeans saw a solid performance with net sales of 1.33 MMT and exports at 1.03 MMT; recent daily announcements include about 0.435 MMT in net Chinese purchases in late November (e.g., 312,000 MT on November 28 and 123,000 MT on November 24), linked to a new U.S.-China deal for 12 MMT in November-December, some potentially for state reserves. These flows are helping narrow the year-on-year deficit, though total commitments remain behind the seasonal average. Wheat sales were modest at 0.53 MMT net with exports at 0.30 MMT, unchanged versus recent weeks; a daily sale of about 133,000 MT of white wheat to China was reported on November 20, but overall, China has not yet emerged as a significant buyer ahead of the December 1 tariff suspension. Traders are watching for confirmation of additional business in the December 8 catch-up report. Overall, the sales tone improved, but forward book growth will need to accelerate into January to justify USDA's current export lines.

Ethanol Production & Stocks (EIA – week ending Nov 29): U.S ethanol production continued its strong late-November run, with output rising to 1.126 million barrels/day in the week ending Nov 28, the highest level of the month and up from 1.113 mb/d the prior week. The four-week trend has held between 1.07–1.13 mb/d, confirming steady industrial demand and a consistently firm pull from Western Corn Belt processors. At current yields, the latest print implies a weekly corn grind of roughly 100–102 million bushels, supportive of nearby basis and spreads. Ethanol stocks ticked slightly higher, in line with normal pre-year-end seasonal builds, while margins remain comfortably positive thanks to stable corn prices and resilient DDGS values.

So What? Market sentiment this week was driven more by real-time signals than static supply numbers. In corn, record ethanol output and strong inspections provided firm demand-side support even as carryout remains heavy. Soybeans benefited from confirmed Chinese purchases and continued crush strength, helping offset the lagging export book. Wheat remains the weakest on paper, but decent export execution and limited fund pressure have helped it stabilize near mid-range levels. With no new *WASDE* revisions yet and no South American crop cuts confirmed, traders continue to lean on physical indicators, basis, inspections, processor bids, to define near-term direction. Futures are range-bound, but underlying demand in corn and soy continues to validate board values even as global supply caps any sustained rallies.

Weather & Crop Conditions

United States

Crop Progress & Logistics: U.S harvest has officially concluded, with both corn and soybean collection finishing well ahead of the five-year average. Dry autumn conditions enabled rapid progress and minimal quality issues. With row crops off the field, attention has shifted to winter wheat and infrastructure. Winter wheat entered dormancy with a generally decent start, although key HRW areas in western Kansas and the Texas Panhandle remain moisture deficient. Soil moisture is mostly adequate elsewhere, but spring recharge will be essential in the drought-prone southern Plains. River levels, meanwhile, have rebounded meaningfully from October's historic lows: gauges at Memphis, St. Louis and Baton Rouge all showed firm improvements, allowing barge drafts to normalize. Navigation on the Lower Mississippi and Ohio Rivers is now operating under standard conditions, a positive shift for basis and export flow into year-end.

Temperatures & Energy: Mild early-winter weather across the U.S and Europe has helped hold natural gas prices steady, with no polar vortex threats or significant frost events reported. For grain markets, this reduces fertilizer cost pressure and keeps winterkill risks low. NOAA's near-term outlook (6–10 day) shows seasonal to above-normal temperatures in the Midwest and Plains, with limited precipitation expected for the southwestern HRW belt.

Brazil

North–South Weather Divide Deepens: Brazil's weather pattern remained sharply split between northern and southern regions, a classic signal of the emerging La Niña. November's second half delivered consistent rains across Mato Grosso, Goiás and MATOPIBA, supporting strong soybean and first-crop corn emergence. Planting is essentially complete in those zones, with agronomists noting "very good" early stand ratings and topsoil moisture at or above normal. However, southern states like Rio Grande do Sul and Santa Catarina stayed dry through late November and early December. Farmers in Paraná benefited from earlier rains, allowing for good crop establishment, but later-planted fields in Rio Grande do Sul are now entering reproductive stages under significant moisture stress.

Scattered early-December showers offered minor relief, but forecasts from INMET and NOAA signal subpar rainfall across southern Brazil through at least mid-December. This is a critical window: first-crop corn is nearing tasseling and early soybeans are moving into pod set. If dryness persists, yield loss in the far south

will become increasingly likely, potentially offsetting northern gains and trimming Brazil's record production potential. In MATOPIBA, improved rainfall since late October has firmed up yield prospects, especially in irrigated zones of Bahia and Piauí. Port logistics and interior freight flows remain unimpeded by weather to date.

Argentina

Planting Surge & Favorable Conditions: Argentina's planting and early crop development continue to progress under broadly favorable conditions. Soybean sowing accelerated meaningfully last week, advancing 8.7 percentage points to cover roughly 44–45 percent of the projected 17.6 MHa for 2025/26. Despite the strong weekly push, planting remains about 9 points behind last year and slightly below the five-year average due to field-access issues in parts of central Buenos Aires, where excessive moisture has slowed machinery entry. In contrast, first-crop soybean planting across both core regions is nearing completion, and second-crop soybeans are now gaining momentum as winter grain harvest wraps up.

Corn planting reached about 44 percent of intended area after a solid 5-point weekly gain, with late-window sowing opening up across the central and southern agricultural belt. Crop conditions are exceptionally strong: 86 percent of planted corn is rated Good to Excellent, supported by widespread soil moisture recharge. Nationally, 94 percent of the agricultural area sits within Adequate Optimal moisture ranges, one of the best early-season profiles in recent years. While localized excess moisture persists in the Southern Core and pockets of central Buenos Aires, these issues have not altered the overall narrative. Ample subsoil reserves are ensuring uniform emergence and strong early vegetative development, placing Argentina on a trajectory consistent with above-trend yield potential heading into the critical January weather window.

Global

Winter Wheat & Australian Harvest: The Northern Hemisphere's winter crops entered dormancy under mostly favorable conditions. Russia, Ukraine, France and Germany all reported sufficient pre-winter rainfall and above-average temperatures, supporting good stand development and minimizing frost risk. FranceAgriMer held French wheat ratings steady in the high-60s percent good-to-excellent. The Black Sea region, particularly southern Russia, enjoyed mild weather that allowed late planting to finish without interruption.

In Australia, harvest moved forward in New South Wales and Victoria with mixed yield outcomes. The eastern belt received some late-season rainfall that improved quality, but Western Australia's persistent drought sharply curtailed output there. National wheat production will fall well short of last year's record but remains a meaningful contributor to global supply. Elsewhere, India's rabi crop season progressed normally, and South African summer grains are being planted under near-average early summer weather.

So What?

The global weather narrative remains heavily centered on South America. Brazil shows classic La Niña divergence: the Central-West and MATOPIBA are in excellent shape after a rebound in November rainfall, but southern states are deteriorating rapidly. Rio Grande do Sul in particular is approaching a critical stage, and a continued dry bias into mid-December would introduce meaningful downside risk to national yield potential. Argentina, by contrast, is operating under near-ideal conditions, with planting ahead of schedule and moisture profiles rated excellent in most major zones.

In the U.S, the post-harvest lull means weather plays a secondary role, though improving river levels have enhanced grain movement and preserved strong basis into year-end. The mild winter start globally has further removed energy and fertilizer cost pressure. For now, the real volatility risk lies in southern Brazil and, to a lesser extent, in Argentina's January weather window. Markets will remain acutely sensitive to rainfall updates from Rio Grande do Sul and crop model revisions over the next two weeks.

Synthesis & Outlook

Grain and oilseed markets head into December with a firm but uneasy, by resilient physical demand yet constrained by towering global supply expectations. Futures remain rangebound across the board: March corn holding near \$4.40/bu, January soybeans fluctuating around \$11.15–11.20, and SRW wheat bouncing inside the \$5.30–\$5.60 range. In all three markets, spreads continue to tell a more supportive story than flat price: the corn Mar/May narrowed under –11¢ (48 percent of full carry), soybean Jan/Mar briefly reached –9¢, and wheat Mar/May trades steady near 41 percent of full carry, clear signals that end-users are still bidding aggressively for nearby coverage even as longer-term outlooks lean heavy.

On the global front, South America is once again the market's primary driver of potential change. Brazil's crop outlook is split: Northern and Central regions are recovering well with favorable rains, while the South (especially Rio Grande do Sul) edges toward stress. Argentina, meanwhile, is off to its best start in years, with near-perfect planting conditions and moisture reserves built for mid-season. This setup raises the stakes for December weather. If La Niña-linked dryness worsens in southern Brazil, or Argentina's early-season luck turns, then the board may finally break out of its holding pattern. Until then, cash market dynamics will continue to steer the ship, not macro sentiment or managed money.

Bullish triggers: Upside risks continue to cluster around strong U.S domestic demand: record ethanol output, firm crush margins, and resilient basis all show that real use pull remains stronger than the balance sheets imply. Weather is the second lever, any deterioration in southern Brazil or Argentina during pollination would quickly challenge expectations for record South American crops. Additional **Chinese buying**, whether in soybeans or a surprise corn tender after the Dec 1 tariff suspension, would also tighten nearby spreads. Finally, if U.S export execution remains solid through December, it would reinforce the physical foundation supporting the front end of the curve.

Bearish triggers: The key bearish catalyst remains confirmation of record-large South American crops without meaningful yield losses, which would cement ample global supplies into Q1. Argentina delivering above-trend yields would add further weight. A slowdown in Chinese buying after reserve needs are met, paired with softer Gulf basis and re-widening spreads, would weaken the U.S outlook. And globally, another move lower in Black Sea FOB wheat or continued aggressive Russian tendering would pressure U.S exports and keep rallies capped.

Watchlist (Dec 7 – Dec 13):

Mid-month Brazilian rainfall forecasts - divergence between North and South remains critical

USDA export sales and inspections – are Chinese purchases converting to actual shipments?

U.S ethanol grind – does last week's record output hold, or was it a one-off?

Argentine planting pace and early condition ratings from BCBA and private analysts

CIF basis and processor bids – are end-users still paying up for physical, or does demand start to soften?

In summary: The grain market remains a tug-of-war between firm nearby usage and looming future supply. U.S basis strength, ethanol and crush data, and export flow continue to validate current board levels, even if the balance sheets suggest ample cushion. South America now holds the swing vote: if Brazil's southern belt or Argentina falter, the floor will rise; if both deliver big, the ceiling may fall. Until clarity arrives, the board will likely continue to drift inside a narrow range, supported by strong physical bids, but capped by the world's surplus.